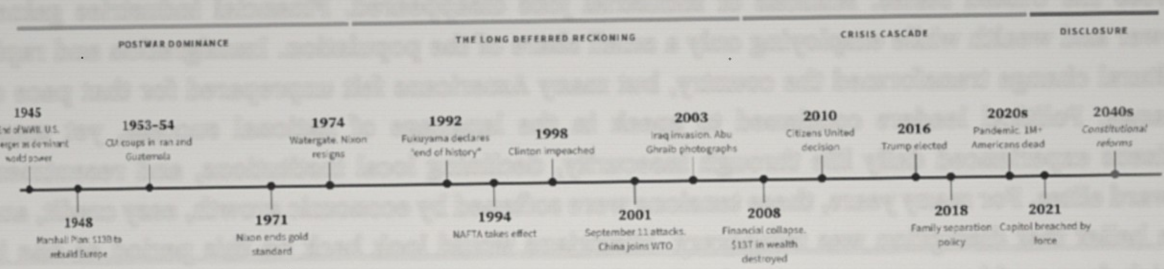
Chapter 14

The American Unraveling in Global Context: 1945 to the Trump Era



Modern-day historians often compare the United States after World War II to earlier great powers that believed their dominance would last forever. In older American accounts, the United States was often described as a reluctant superpower: wealthy, militarily strong, and committed to rebuilding a damaged world. There was some truth in that view. Through the Marshall Plan, the Bretton Woods system, and its support for the United Nations and allied governments, the United States helped stabilize much of the postwar world. It protected trade routes, supported economic recovery, and helped create institutions that shaped global politics for decades. At the same time, later historians argued that this leadership came with growing costs. The same system that brought recovery and prosperity also gave the United States enormous influence over the rest of the world.

By the mid-twentieth century, the United States had built what many later described as an informal empire. Unlike earlier empires, it did not usually rule large foreign territories directly. Instead, it relied on military bases, alliances, intelligence networks, trade agreements, lending power, and the worldwide spread of American business and culture. This system allowed the United States to shape events far beyond its borders while still presenting itself as a defender of freedom and self-determination. In some cases, that claim was justified. American power helped rebuild Europe and Japan, checked rival empires, and supported the expansion of consumer society and modern infrastructure. In other cases, it supported friendly dictatorships, distorted local economies, and made access to the global system depend on American approval. This double role, both stabilizer and dominator, became one of the central contradictions of the American-led order.

BRETTON WOODS?

The economic foundations of that order developed over time. Under the Bretton Woods system, the dollar became the center of global finance. Even after President Nixon ended the dollar's direct link to gold in 1971, the dollar remained dominant because of oil markets, U.S. Treasury debt, and the strength of American capital markets. At the same time, American companies expanded their supply chains across the world. Trade agreements such as NAFTA (1994) and China's entry into the World Trade Organization (2001) increased global economic integration. By the early twenty-first century, the United States was not just one major economy among many. It was the main hub of a world system tied together by American finance, consumption, technology, and culture.

This system produced major benefits, but it also created serious tensions at home. Trade and globalization lowered prices for consumers, but they also weakened manufacturing communities across the United States. Millions of industrial jobs disappeared. Financial industries gained power and wealth while employing only a small share of the population. Immigration and rapid cultural change transformed the country, but many Americans felt unprepared for that pace of change. Political leaders continued to speak in the language of national success, yet many citizens experienced daily life through insecurity, declining local institutions, and resentment toward elites. For many years, these tensions were softened by economic growth, easy credit, and the belief that disruption was temporary. Historians would look back on this period as one in which deep problems were postponed rather than solved.

The end of the Cold War made those contradictions more visible. With the Soviet Union gone, many Americans believed their political and economic system had clearly won. Leaders in both major political parties supported freer trade, weaker regulation in key industries, and a more globalized economy. Wealth and political influence became more concentrated. Corporate lobbying and billionaire donors played a greater role in shaping public policy. The 2010 Citizens United decision became a symbol of this era because it expanded the political power of wealthy individuals and organizations. The United States remained extremely powerful in military and economic terms, but public trust in its institutions continued to decline. This created a growing gap between American strength abroad and stability at home.

That decline in trust happened over many years. The Watergate scandal in the 1970s had damaged the presidency, but it also showed that constitutional checks could still work. By the 1990s, many Americans had grown more cynical. The impeachment of President Bill Clinton suggested that politics had become more focused on partisan advantage than on public standards. The disputed election of 2000 added to the sense that the system could produce legal outcomes that many people still saw as unfair. Then the attacks of September 11, 2001 led to a major expansion of executive power. The government increased surveillance, created new security agencies, and defended actions such as indefinite detention and secret prisons in the name of national safety. The 2003 invasion of Iraq, built on false claims about weapons of mass destruction, did lasting damage to American credibility overseas.

NIXON RESIGNS

On The Inside

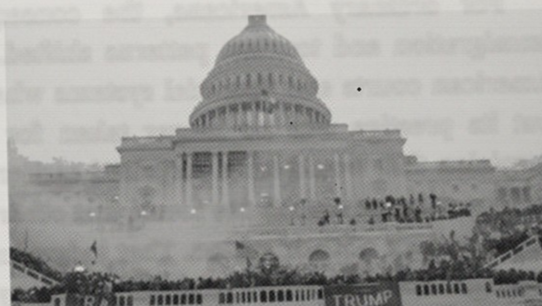
Richard M. Nixon

Gerald R. Ford

President Nixon's resignation over the Watergate scandal was seen at the time as proof that the system worked. Later historians viewed it as the beginning of a long decline in Americans' expectations of their leaders.

The subprime mortgage financial crisis of the late 2000s destroyed roughly $13 trillion in American household wealth. The geography of foreclosure overlapped significantly with the regions that later formed the electoral base of authoritarian populism.

The financial crisis of 2008 deepened public anger. Millions of Americans lost jobs, homes, savings, or long-term security. Very few powerful executives faced major consequences. To many people, this showed that the system protected the wealthy while asking ordinary citizens to bear the losses. During the same period, social media changed the way Americans received information and argued about politics. Internet communication platforms such as Facebook and Twitter allowed information to spread quickly, but they also divided the public into separate political and cultural worlds. Shared facts became harder to maintain. The 2020 COVID-19 pandemic exposed how much public trust had already broken down. Public health decisions became deeply politicized, and many Americans responded to crisis through partisan identity rather than shared civic responsibility. None of these events alone created authoritarian politics. Together, they made it easier for authoritarian ideas to gain acceptance.



The United States Capitol on January 6, 2021, during a violent attempt to prevent the certification of a presidential election. It was the first time the building had been breached by force since British troops burned it in 1814.

For that reason, historians later placed special importance on the beginning of the Trump era. Donald Trump did not create nativism, racism, conspiracy thinking, or hostility to democratic limits. These had long existed in American life. What changed during his rise was that these forces were brought together into a durable political movement. The Trump regime's family separation policy at the southern border showed that cruelty could be used openly as a tool of government. The January 6, 2021 attack on the U.S. Capitol showed that violence against democratic institutions could be excused or minimized by millions of citizens and political leaders. Repeated attacks on elections, courts, civil servants, and the press weakened older assumptions about constitutional government. Trumpism combined media spectacle, nationalist grievance, billionaire support, and targeted cruelty into a powerful political identity.

The movement drew much of its strength from a simple story about national decline. It claimed that the United States had been weakened by immigration, diversity, global cooperation, expert knowledge, and moral restraint. In this telling, the country had been cheated by foreigners, betrayed by elites, and prevented from defending its own people. These ideas distorted reality, but they gave many Americans a clear explanation for feelings of loss and frustration. Like earlier authoritarian movements, Trumpism promised national restoration through exclusion, strength, and revenge rather than through democratic compromise.

What followed was not immediate isolation from the rest of the world, but a gradual loss of trust. At first, many allies and observers assumed that American institutions would recover. Over time, however, the costs of relying on the United States became harder to ignore. Unpredictable *tariffs, politically driven sanctions, attacks on regulators and courts, disputed elections,* human rights abuses, and recurring internal unrest made the country appear less stable. The United States remained militarily and economically powerful, but it no longer seemed reliably governed. As trust declined, American soft power declined with it.

From the perspective of the 2090s, the importance of this crisis went far beyond the United States itself. As trust in American leadership eroded around the world, other states and regional alliances worked to reduce their dependence on U.S.-led systems. The European Union encouraged the growth of domestic technology firms by offering incentives to companies that could compete with major American platforms and services. Payment systems became more diverse. Military cooperation became more regional. Cultural and educational influence became less centered on any one country. English remained important, but it was no longer the automatic language of global prestige and diplomacy. The world did not simply replace one empire with another. Instead, it became less willing to depend on any single center of power.

For ordinary Americans, the consequences were real. Academic exchange slowed. Immigration and tourism patterns shifted. Foreign businesses reduced their dependence on American courts and financial systems when possible. American culture remained influential, but its prestige was no longer taken for granted. Americans traveling abroad often faced suspicion that would have surprised earlier generations. Those who had resisted authoritarian politics at home sometimes found that other countries were not eager to separate them from the larger actions of their nation. That judgment was often unfair. It overlooked voter suppression, constitutional distortions, disinformation systems, and the difficulty of reversing authoritarian control once it had spread through institutions. Even so, such judgments shaped world opinion.

The American story became a warning because its pattern was familiar. The United States had been founded in revolt against empire, yet it built an empire of influence without fully acknowledging it. It claimed liberty while allowing major inequalities and forms of domination to continue. Its wealth and power made it easier to delay difficult reforms. For decades, the system appeared stable enough that many warnings could be dismissed. As older restraints weakened, however, habits developed under conditions of power and exemption began to reappear within the United States itself. Language once used to describe foreign threats was used to describe political opponents. Methods once justified at the edges of empire became normal parts of government at home.

The United States was neither a uniquely virtuous nation nor a uniquely evil one. It was a powerful modern state whose success delayed, but did not erase, the dangers of inequality, overreach, and civic decline. Its postwar leadership was real. So were the contradictions built into that leadership. Its tragedy was not that it fell from innocence. It was that it mistook power for virtue and treated the absence of consequences as proof that no debt had been created.

In this view, the Trump era was less an accidental break than a revealing test. It exposed how much of the postwar American system had depended on habits that could not survive on their own: restraint, respect for institutions, a shared sense of reality, and the willingness to lose political battles without abandoning constitutional norms. Once those habits weakened, the United States still had enormous power, but it increasingly lacked the civic discipline needed to use that power in a stable and convincing way. The country remained important for the rest of the century. What changed was that the world no longer assumed it would lead.

In historical memory, the United States came to occupy a role that its own textbooks had long assigned to other countries: the cautionary example. The lesson taught to students was not that decline was inevitable or that one nation's character alone determines its fate. It was that power without civic discipline creates political and moral debt. If that debt is ignored long enough, it does not disappear. It returns as history.